Type MS · Trading blocs: what they are and their effects

Answer 1 of 11 · Question 4 part b · 6 marks

2021 NOV · Paper 02 · extract 1 of 4 · find part b in this mark scheme extract

4(a)	**AO2 2 marks** Award 2 marks for calculating the annual average value of FDI $\frac{(45.14 + 55.55 + 60.98 + 64.37)}{4}$ **(1)** = $56.51bn **(1)** Award 2 marks for the correct answer of $56.51bn is accurately calculated with no workings shown Award 1 mark if the answer given is 56.51bn with or without calculations shown Do not award marks for the formula	**(2)**

Question Number	**Indicative content**
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Trading blocs are usually groups of countries in specific regions that negotiate preferential trading agreements between themselves with reduced trade barriers • This can benefit member countries such as India because they have access to a wider market in the AFTA, such as Bangladesh, in which to sell their goods and services • Firms in countries such as India may be able to exploit economies of scale or specialisation can occur • Indian consumers may benefit from lower prices and/or greater choice of goods and services • Being a member of the AFTA trading blocs may attract increased FDI into India

Type MS · Trading blocs: what they are and their effects

Answer 1 of 11 · Question 4 part b · 6 marks

2021 NOV · Paper 02 · extract 2 of 4 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Trading blocs: what they are and their effects

Answer 1 of 11 · Question 4 part b · 6 marks

2021 NOV · Paper 02 · extract 3 of 4 · find part b in this mark scheme extract

Question Number	**Indicative content**
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • FDI is the value of inward investment from other countries/firms into a country • FDI can bring in capital investment to India as MNCs will need buildings, equipment and infrastructure to operate within the country • Jobs are created by MNCs such as firms operating in the chemical and automobile industries which reduces unemployment and increases disposable income • There may be increased demand for the products or services of local Indian firms that supply MNCs • MNCs may train up the local workforce who may acquire useful skills in car production factories. MNCs often bring new technologies, techniques and methods • Increased employment and wages should lead to increased tax and government revenue • Exports may increase therefore improving the balance of payments **AO4** • However, wages offered by foreign MNCs can often be low and working conditions may be poor • Some MNCs may not train local workers to a high level and instead bring in their own management rather than employ local workers • MNCs may take market share away from local firms causing domestic industries to go into decline • Some MNCs can cause great damage to the environment, particularly chemical or construction industries by their processes causing negative externalities due to a lack of regulation • Profits are often sent home and taxation can be reduced or avoided therefore reducing revenue for the Indian Government • Some MNCs may stay a short time in India and often move from one country to the next, taking whatever incentives are on offer • The overall benefits will depend upon how foreign MNCs behave in the economy

Type MS · Trading blocs: what they are and their effects

Answer 1 of 11 · Question 4 part b · 6 marks

2021 NOV · Paper 02 · extract 4 of 4 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

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1(a)	**AO1 1 marks** **A** rises	**(1)**

Question Number	Answer	Mark
1(b)	**AO1 1 mark** **D** a reduction in trade barriers between members	**(1)**

Question Number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to a firm and 1 mark for reference to different countries An enterprise/company/firm **(1)** that produces/sells/operates in more than one country/many countries **(1)**	**(2)**

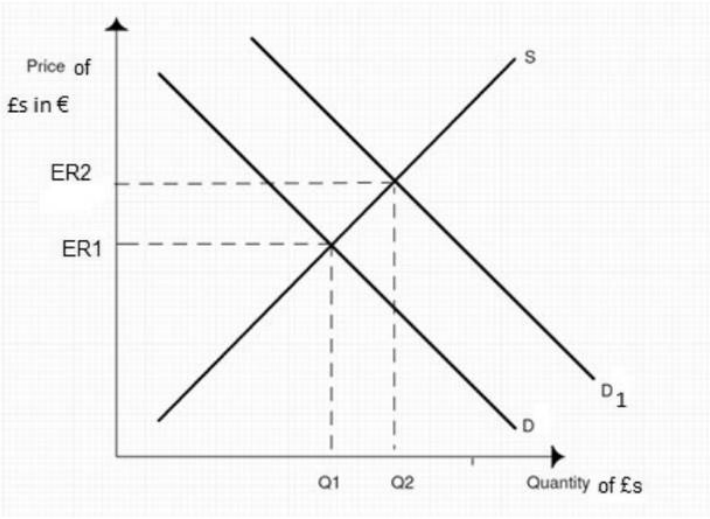
Question Number	Answer	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to the impact and 1 mark for further development. The productive potential will increase **(1)** due to greater investment in capital goods **(1)** **OR** The productive potential will increase **(1)** as firms invest more from greater profits **(1)**	**(2)**

Type MS · Trading blocs: what they are and their effects

Answer 2 of 11 · Question 1 part b · 1 mark

2019 JUN · Paper 02 (regional R) · extract 2 of 5 · find part b in this mark scheme extract

Question Number	Answer	Mark
1(e)	**A02 2 marks** Award 1 mark for showing the calculation Award 1 mark for the correct answer 271.7 + (-22.4) **(1)** = €249.3bn **(1)** Award 2 marks if the correct answer is shown, with euro symbol, even if no calculations are shown Do not award marks for formula	**(2)**

Question Number	Answer	Mark
1(f)	**AO2 3 marks** Award 1 mark for right shift of demand curve, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Type MS · Trading blocs: what they are and their effects

Answer 2 of 11 · Question 1 part b · 1 mark

2019 JUN · Paper 02 (regional R) · extract 3 of 5 · find part b in this mark scheme extract

Question Number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a reason Award 1 mark for developing the reason Award 1 mark for the reason being in context • One reason is because economic growth can improve living standards for the population **(1).** Growth of 0.4% leads to people having higher levels of income **(1).** This can lift people out of poverty in the UK **(1)** • One reason is because economic growth can result in higher levels of tax revenue for a government **(1).** This is due to higher levels of income within the economy **(1)** resulting in more revenue for public sector services in the UK such as education/healthcare **(1)** Accept any other appropriate response.	**(3)**

Type MS · Trading blocs: what they are and their effects

Answer 2 of 11 · Question 1 part b · 1 mark

2019 JUN · Paper 02 (regional R) · extract 4 of 5 · find part b in this mark scheme extract

Question Number	Indicative content	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • A fiscal surplus is when government tax receipts are greater than government spending, in this case 1.3% of GDP in 2016 and expected 0.4% of GDP in 2017 • The government of Singapore has extra funds and these funds can be allocated to pay off any government debts • This reduces the interest payable on any debt and helps the economy in the future • The government of Singapore could use the fiscal surplus to reduce taxes • It could fund new education and training programmes or improve existing public services such as healthcare	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Trading blocs: what they are and their effects

Answer 2 of 11 · Question 1 part b · 1 mark

2019 JUN · Paper 02 (regional R) · extract 5 of 5 · find part b in this mark scheme extract

Question Number	Answer	Mark

Type MS · Trading blocs: what they are and their effects

Answer 3 of 11 · Question 2 part g · 9 marks

2019 JUN · Paper 02 · extract 1 of 6 · find part g in this mark scheme extract

2(a)	**AO1 1 mark** **C** 4%	**(1)**

Question Number	Answer	Mark
2(b)	**AO2 1 mark** **A** Direct taxation	**(1)**

Question Number	Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** correct way. • Visual pollution • Noise pollution • Air pollution • Water pollution Accept any other appropriate responses.	**(1)**

Type MS · Trading blocs: what they are and their effects

Answer 3 of 11 · Question 2 part g · 9 marks

2019 JUN · Paper 02 · extract 2 of 6 · find part g in this mark scheme extract

Question Number	**Answer**	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to increasing productive capacity and 1 mark for reference to aggregate supply. Policies designed to increase the productive capacity of the economy **(1)** by influencing aggregate supply **(1)** OR Government measures **(1)** designed to increase aggregate supply in the economy **(1)**	**(2)**

Question Number	**Answer**	**Mark**
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant advantage of having a depreciating currency. Award 1 mark for developing the advantage. Award 1 mark for the response being in context. • An improvement on the current account **(1)** A weaker value of the peso leads to rising export sales **(1)** resulting in a larger trade surplus for the economy of the Philippines **(1)** • Economic growth for the economy of the Philippines **(1)** The price of exports should fall because of the weaker peso **(1)** This may result in an increase in demand for goods/services **(1)** Accept any other appropriate response.	**(3)**

Type MS · Trading blocs: what they are and their effects

Answer 3 of 11 · Question 2 part g · 9 marks

2019 JUN · Paper 02 · extract 3 of 6 · find part g in this mark scheme extract

Question Number	Answer	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a possible reason. Award 1 mark for developing the possible reason. Award 1 mark for the response being in context. • To access customers in different regions **(1)** Demand may have become saturated in the domestic market of the MNC **(1)** A growing economy such as India provides a much bigger market in which to sell their goods/services **(1)** • Cheaper resources such as labour **(1)** Countries such as India have cheaper skilled labour compared to the domestic market of the MNC **(1)** This allows the MNC to produce products at a much lower cost **(1)** Accept any other appropriate response.	**(3)**

Type MS · Trading blocs: what they are and their effects

Answer 3 of 11 · Question 2 part g · 9 marks

2019 JUN · Paper 02 · extract 4 of 6 · find part g in this mark scheme extract

Question Number	Indicative content	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Trade blocs are usually groups of countries in specific regions that manage and promote trade activities • This can result in more free trade between member countries • This can benefit member countries such as Thailand because they have access to a wider market in ASEAN countries, such as Vietnam, in which to sell their goods and services • Firms in countries such as Thailand may be able to exploit economies of scale or specialisation can occur • Consumers may benefit with lower prices and/or greater choice of goods and services • Being a member of the ASEAN trade block may attract increased FDI • Membership of the trade bloc has contributed to an increase in GDP per capita from $122 to $4 021 **AO4** • Thailand may face increased competition as imports from other member countries increase • This may have a damaging effect on Thailand's domestic firms • Countries such as Thailand may rely too heavily on trade within the bloc rather than trading with non-member countries such as India • The overall benefits will depend on the ability of a country to compete within the region and the level of trade with non-member countries	**(9)**

Type MS · Trading blocs: what they are and their effects

Answer 3 of 11 · Question 2 part g · 9 marks

2019 JUN · Paper 02 · extract 5 of 6 · find part g in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Trading blocs: what they are and their effects

Answer 3 of 11 · Question 2 part g · 9 marks

2019 JUN · Paper 02 · extract 6 of 6 · find part g in this mark scheme extract

Question Number	Answer	Mark

Type MS · Trading blocs: what they are and their effects

Answer 4 of 11 · Question 1 part h · 6 marks

2020 NOV · Paper 02 (regional R) · extract 1 of 5 · find part h in this mark scheme extract

1(a)	**AO1 1 marks** C Voluntary	**(1)**

Question Number	**Answer**	Mark
1(b)	**AO1 1 mark** D Recovery	**(1)**

Question Number	**Answer**	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to monetary authority and 1 mark for reference to its functions The monetary authority that manages a country's money supply **(1)** and interest rates/banking system **(1)** Accept any other appropriate response	**(2)**

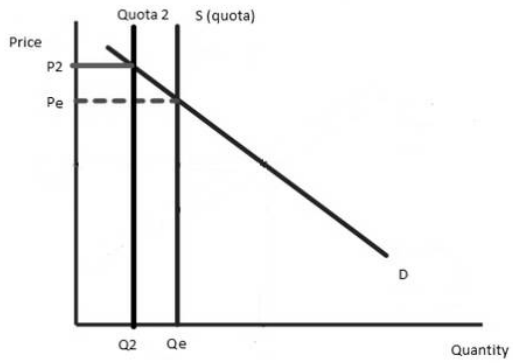
Question Number	**Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference harming domestic businesses and 1 mark for reference to competition from foreign businesses Domestic businesses can go out of business **(1)** if products from foreign businesses are better/cheaper **(1)** Accept any other appropriate response	**(2)**

Type MS · Trading blocs: what they are and their effects

Answer 4 of 11 · Question 1 part h · 6 marks

2020 NOV · Paper 02 (regional R) · extract 2 of 5 · find part h in this mark scheme extract

Question Number	Answer	Mark
1(e)	**A02 2 marks** Award 1 mark for showing the calculation 21 000 – (1 500 x 20%) **(1)** Award 1 mark for the correct answer = €20 700 **(1)** Award 2 marks if the correct answer €20 700 is shown, with € sign, even if no calculations are shown Award 1 mark if correct answer 20 700 is shown, but with no € sign, even if no calculations are shown Do not award marks for the formula	**(2)**

Question Number	Answer	Mark
1(f)	**AO2 3 marks** Award 1 mark for leftward shift of perfectly inelastic supply curve, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	**(3)**

Type MS · Trading blocs: what they are and their effects

Answer 4 of 11 · Question 1 part h · 6 marks

2020 NOV · Paper 02 (regional R) · extract 3 of 5 · find part h in this mark scheme extract

Question Number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant impact Award 1 mark for developing the impact Award 1 mark for the response being in context • The impact is that wages do not buy the same amount of goods **(1)** this is because prices are rising at a faster rate than wages **(1).** To prevent this wages need to rise such as the recent increase in Mexico **(1)** • The impact might be limited **(1)** if wages for some workers in Mexico are linked to inflation **(1).** This means that the standard of living remains the same if wages are keeping up with inflation **(1)** Accept any other appropriate response	**(3)**

Question Number	Indicative content	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Trade blocs are usually groups of countries in specific regions that manage and promote trade activities • This can result in more free trade between member countries • This can benefit member countries in the AfCFTA because they have access to a wider market which will consist of 1.2bn people • GDP for the trade bloc is expected to be $2.5 trillion. • Firms in the trade bloc may be able to exploit economies of scale or specialisation can occur • Prices may be cheaper due to a reduction of tariffs and quotas • Consumers may benefit with lower prices and/or greater choice of goods and services • Being a member of the AfCFTA trade bloc may attract increased FDI	**(6)**

Type MS · Trading blocs: what they are and their effects

Answer 4 of 11 · Question 1 part h · 6 marks

2020 NOV · Paper 02 (regional R) · extract 4 of 5 · find part h in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–2**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	**3–4**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	**5–6**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Trading blocs: what they are and their effects

Answer 4 of 11 · Question 1 part h · 6 marks

2020 NOV · Paper 02 (regional R) · extract 5 of 5 · find part h in this mark scheme extract

Question Number	**Answer**	Mark

Type MS · Trading blocs: what they are and their effects

Answer 5 of 11 · Question 3 part b · 1 mark

2021 JUN · Paper 02 · extract 1 of 6 · find part b in this mark scheme extract

3(a)	**AO2 1 mark** The only correct answer is: **C** £218.2bn A is not correct because this is calculated by Sales tax (VAT) + Income tax B is not correct because this figure is calculated by Income tax + Tariffs D is not correct because this is calculated by Tariffs + Business tax	**(1)**

Question Number	Member countries of a trading bloc agree to Answer	Mark
3(b)	**AO1 1 mark** The only correct answer is: **A** trade together with low or no barriers B is not correct because countries in a trading bloc can have different rates of income tax C is not correct because members can trade with any country outside of the trading bloc D is not correct because member countries do not always have common borders	**(1)**

Type MS · Trading blocs: what they are and their effects

Answer 5 of 11 · Question 3 part b · 1 mark

2021 JUN · Paper 02 · extract 2 of 6 · find part b in this mark scheme extract

Question Number	Explain **one** advantage of using quotas for a country such as Brazil. Answer	Mark
3(c)	**AO2 3 marks** Award 1 mark for identifying an advantage Award 1 mark for developing the advantage Award 1 mark for the response being in context • One advantage is domestic producers face less competition **(1)**. By only allowing 600 million litres of ethanol into Brazil **(1)** domestic producers may gain more market share **(1)** • One advantage is higher revenue for domestic producers **(1)**. By restricting the amount of ethanol being imported into Brazil to 600 million litres **(1)** domestic producers might be able to increase sales **(1)** Accept any other appropriate response	**(3)**

Type MS · Trading blocs: what they are and their effects

Answer 5 of 11 · Question 3 part b · 1 mark

2021 JUN · Paper 02 · extract 3 of 6 · find part b in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse why the Slovenian Government might want to increase investment in healthcare. Indicative content
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Healthcare provides medicines and medical treatments to increase the overall health of the nation • The social benefit of providing healthcare to an individual often exceeds the private benefit through immunisation programmes • Investing €3.05bn in healthcare means that illnesses can be treated quickly therefore improving life expectancy across all age groups in Slovenian • This can help to reduce inequality and poverty by enabling the population to work and gain income from being fit and healthy • Having a healthier workforce reduces the amount of sickness absence and potentially improves labour productivity • This could result in economic growth and therefore help to improve standards of living in Slovenia • Healthcare also provides many jobs for healthcare workers including nurses and doctors which helps to reduce unemployment

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Trading blocs: what they are and their effects

Answer 5 of 11 · Question 3 part b · 1 mark

2021 JUN · Paper 02 · extract 4 of 6 · find part b in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the likely benefits of economic growth for a country such as Turkmenistan. Indicative content
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Economic growth is the increase in the level of output by a nation and is one of the main macroeconomic objectives • Turkmenistan has seen a 6.2% GDP growth rate which could result in an increase in employment levels in the oil and natural gas extraction industries • This is due to firms requiring more workers for production as the economy grows • Figure 4 shows an increase over time of GDP per capita which indicates that people have more income in Turkmenistan • Consumers might be able to purchase more goods and services thereby improving standards of living • Rapid economic growth could also help to reduce poverty in Turkmenistan particularly as over 50% of the labour force work in agriculture **AO4** • However, not all economic growth is good for an economy • If economic growth is too fast, the Turkmenistan economy may overheat • This could result in demand pull and cost push inflation • Economic growth could also result in more negative externalities such as pollution and waste • Turkmenistan relies heavily on the extraction of finite resources such as oil and gas which may cause a long-run depletion of natural resources • Rapid increases in GDP can lead to a higher level of inequality as the gains from growth may go to only a few people

Type MS · Trading blocs: what they are and their effects

Answer 5 of 11 · Question 3 part b · 1 mark

2021 JUN · Paper 02 · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Trading blocs: what they are and their effects

Answer 5 of 11 · Question 3 part b · 1 mark

2021 JUN · Paper 02 · extract 6 of 6 · find part b in this mark scheme extract

Question Number	Calculate how much **interest, in Yuan (¥)**, Zhang Li received in one year. You are advised to show your working. Answer	Mark

Type MS · Trading blocs: what they are and their effects

Answer 6 of 11 · Question 1 part h · 6 marks

2024 JUN · Paper 02 (regional R) · extract 1 of 5 · find part h in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **D** Environmental damage A is not correct because MNCs invest in factories and capital equipment in other countries B is not correct because this is an advantage of MNCs C is not correct because MNCs often create new jobs when locating in another country	**(1)**

Question Number	Which **one** of the following describes voluntary unemployment? **Answer**	Mark
1(b)	**AO1 1 marks** The only correct answer is: **C** Unemployment caused by individuals choosing not to work A is not correct because this describes structural unemployment B is not correct because this describes cyclical unemployment D is not correct because this describes seasonal unemployment	**(1)**

Question Number	What is meant by the term monetary policy? **Answer**	Mark
1(c)	**AO1 2 marks** Award up to 2 marks for a correct definition Use of interest rates/money supply **(1)** to influence the level of overall demand in the economy **(1)** Accept any other appropriate response	**(2)**

Type MS · Trading blocs: what they are and their effects

Answer 6 of 11 · Question 1 part h · 6 marks

2024 JUN · Paper 02 (regional R) · extract 2 of 5 · find part h in this mark scheme extract

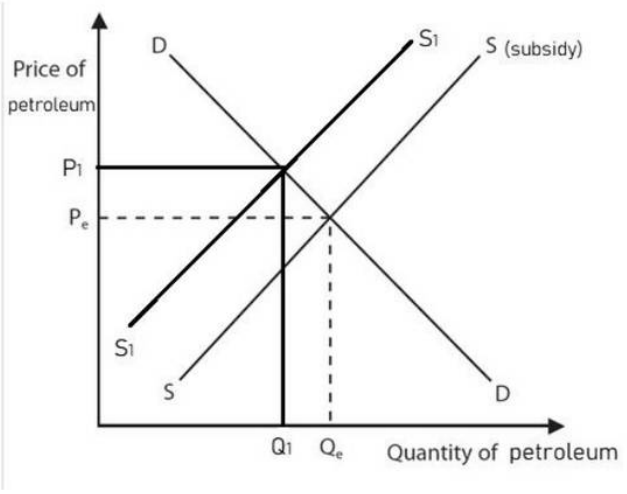
Question Number	Describe **one** advantage of privatisation for a government. **Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to an advantage for a government and 1 mark for development of an advantage for a government Generates revenue **(1)** which can help the government to invest in other areas **(1)** Accept any other appropriate response	**(2)**

Question Number	Calculate the **total amount of revenue** in £bn raised by indirect taxes in February 2023. You are advised to show your working. **Answer**	Mark
1(e)	**A02 2 marks** Award 1 mark for selecting indirect taxes from the table £14.3bn + £3.7bn + £0.4bn **(1)** Award 1 mark for the correct answer = £18.4bn **(1)** Award 2 marks if the correct answer is £18.4bn even if no calculations are shown Award 1 mark if the answer given is 18.4 even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Trading blocs: what they are and their effects

Answer 6 of 11 · Question 1 part h · 6 marks

2024 JUN · Paper 02 (regional R) · extract 3 of 5 · find part h in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the removal of the fuel subsidy on the equilibrium price and quantity of petroleum in Ghana. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(f)	**AO2 3 marks** Award 1 mark for a leftward shift of supply curve, labelled Award 1 mark for a higher equilibrium price, labelled Award 1 mark for a lower equilibrium quantity, labelled  	**(3)**

Type MS · Trading blocs: what they are and their effects

Answer 6 of 11 · Question 1 part h · 6 marks

2024 JUN · Paper 02 (regional R) · extract 4 of 5 · find part h in this mark scheme extract

Question Number	Explain **one** advantage of deregulation for a country such as India. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant advantage Award 1 mark for developing the advantage Award 1 mark for the response being in context • One advantage is that it can increase competition **(1)**. New telecommunications firms can more easily enter the market and compete with established companies **(1)** which can lead to lower prices/higher quality/more choice for consumers **(1)** • One advantage is that it can stimulate economic growth **(1)**. When regulations are reduced, firms pay lower taxes or fees so may have more resources to invest **(1)** which can create jobs and increase economic output **(1)** Accept any other appropriate response	**(3)**

Question Number	With reference to the data above and your knowledge of economics, analyse the advantages for UK firms of the UK joining the CPTPP trading bloc. **Indicative content**	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Trading blocs are usually groups of countries in specific regions that negotiate preferential trading agreements between themselves with reduced trade barriers • The CPTPP includes countries in the Asia-Pacific region, providing UK firms with access to new markets that they might not have been able to enter before • By joining the CPTPP, the UK firms could benefit from reduced trade barriers, making it easier and cheaper to export goods to member countries • Membership in the CPTPP could help UK firms access skilled labour in other member countries • Membership of the CPTPP could help the UK firms diversify trade relationships beyond Europe, reducing the risk of relying on a single trading partner	**(6)**

Type MS · Trading blocs: what they are and their effects

Answer 6 of 11 · Question 1 part h · 6 marks

2024 JUN · Paper 02 (regional R) · extract 5 of 5 · find part h in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Question Number	Which **one** of the following is the calculation for the rate of unemployment in a country? **Answer**	Mark

1(a)	**AO1 1 mark** The only correct answer is: **C** Developing skills A is not correct because this is a disadvantage of MNCs B is not correct because MNCs often cause pollution in other countries D is not correct because MNCs often move profits back to their own countries	**(1)**

Question Number	Which **one** of the following is a measurement of gross domestic product (GDP)? **Answer**	Mark
1(b)	**AO1 1 mark** The only correct answer is: **B** Total value of goods and services produced within an economy A is not correct because of GDP focuses on the production aspect of goods and services rather than the value traded C is not correct because exports are only a part of the total production within an economy D is not correct because it the value of imports is not used in the calculation of GDP	**(1)**

Question Number	What is meant by the term the current account on the balance of payments? **Answer**	Mark
1(c)	**AO1 2 marks** Award 2 marks for a correct definition A record of all transactions **(1)** relating to international trade **(1)** **OR** It is where the total value of exports and imports **(1)** are recorded **(1)** Accept any other appropriate response	**(2)**

Type MS · Trading blocs: what they are and their effects

Answer 7 of 11 · Question 1 part h · 6 marks

2024 JUN · Paper 02 · extract 2 of 5 · find part h in this mark scheme extract

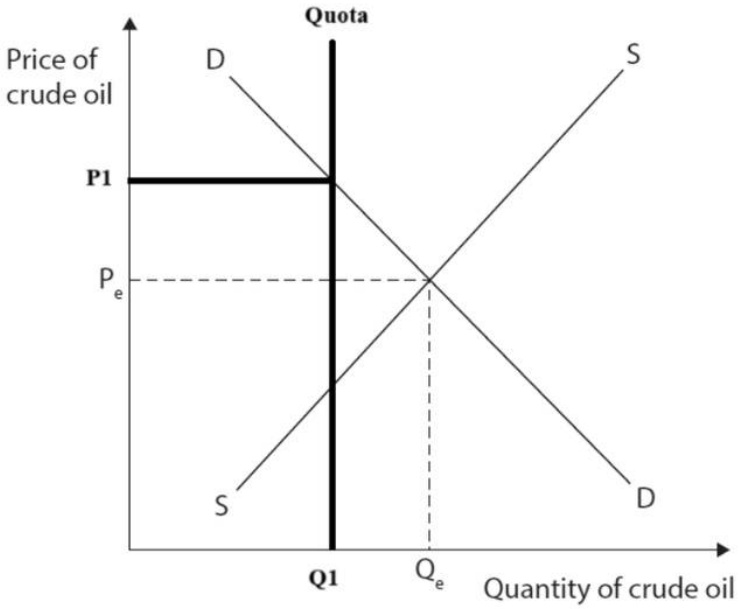
Question Number	Describe **one** way business activity can damage the environment. **Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to a way and 1 mark for the development of the way One way is by air pollution **(1)** due to factories releasing large amounts of greenhouse gases into the air **(1)** Accept any other appropriate response	**(2)**

Question Number	Calculate the **total amount of revenue** in £bn raised by direct taxes in February 2023. You are advised to show your working. **Answer**	Mark
1(e)	**AO2 2 marks** Award 1 mark for selecting direct taxes from the table £20bn + £7.6bn **(1)** Award 1 mark for the correct answer = £27.6bn **(1)** Award 2 marks if the correct answer is £27.6bn even if no calculations are shown Award 1 mark if £bn is missing i.e. 27.6 with or without calculations shown Do not award marks for the formula.	**(2)**

Type MS · Trading blocs: what they are and their effects

Answer 7 of 11 · Question 1 part h · 6 marks

2024 JUN · Paper 02 · extract 3 of 5 · find part h in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the introduction of the quota on the equilibrium price and quantity of crude oil in China. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(f)	**AO2 3 marks** Award 1 mark for a perfectly inelastic supply curve, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	**(3)**

Type MS · Trading blocs: what they are and their effects

Answer 7 of 11 · Question 1 part h · 6 marks

2024 JUN · Paper 02 · extract 4 of 5 · find part h in this mark scheme extract

Question Number	Explain **one** reason why there may be a link between economic growth and inflation for an economy. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that economic growth can lead to a rise in demand for goods and services **(1).** Due to supply not keeping up with demand **(1)** prices rise/inflation occurs as demand is greater than supply **(1)** Accept any other appropriate response	**(3)**

Question Number	With reference to the data above and your knowledge of economics, analyse the disadvantages to firms in South Africa of being a member of the AfCFTA. **Indicative content**	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Trading blocs are usually groups of countries in specific regions that negotiate preferential trading agreements between themselves with reduced trade barriers • As more firms from different countries in the AfCFTA enter the South African market, domestic firms may face increased competition • Foreign firms may have advantages such as lower costs of production, better technology or greater access to resources which can give them an advantage over domestic firms • This could lead to lower prices and profit margins, making it harder for domestic firms to survive in the market • If South African firms are unable to compete with other firms in the trade bloc they may be forced to close or to reduce their workforce	**(6)**

Type MS · Trading blocs: what they are and their effects

Answer 7 of 11 · Question 1 part h · 6 marks

2024 JUN · Paper 02 · extract 5 of 5 · find part h in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Question Number	What is the likely impact of lower transport and communication costs on an economy? **Answer**	Mark

Type MS · Trading blocs: what they are and their effects

Answer 8 of 11 · Question 4 part c · 12 marks

2024 NOV · Paper 02 · extract 1 of 5 · find part c in this mark scheme extract

4(a)	**AO2 2 marks** Award 2 marks for calculating the percentage change in GDP $\frac{3\,385.09\text{bn} - 3\,150.31\text{bn}}{3\,150.31\text{bn}} \times 100$ **OR** $\frac{234.78\text{bn}}{3\,150.31\text{bn}} \times 100$ **(1)** = 7.45% **(1)** Award 2 marks if the percentage change in GDP is accurately calculated as 7.45% even if no calculations are shown Award 1 mark if the percentage change in GDP is calculated as 7.45 even if no calculations are shown No marks for formula	**(2)**

Type MS · Trading blocs: what they are and their effects

Answer 8 of 11 · Question 4 part c · 12 marks

2024 NOV · Paper 02 · extract 2 of 5 · find part c in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse how benefits offered by the government can help to reduce poverty for a country such as India. **Indicative content**	Mark
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Benefit payments are direct payments from the government to those on very low incomes • Low-income households can use the cash transfer payments to buy essential goods and services such as food, housing and healthcare which they otherwise would not be able to afford • These payments and food rations can help to ensure that low-income families have access to food which can improve their health and well-being • Training courses can help to increase opportunity for low-income unemployed individuals to retrain to gain employment thereby helping to reduce poverty in India • Benefit payments can help to reduce financial stress for working families and significantly improve their standard of living by lifting them out of poverty	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Trading blocs: what they are and their effects

Answer 8 of 11 · Question 4 part c · 12 marks

2024 NOV · Paper 02 · extract 3 of 5 · find part c in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, evaluate the possible benefits for India of joining the RCEP trading bloc. **Indicative content**	Mark
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • A trading bloc is a group of countries that have agreed to reduce or eliminate trade barriers between each other • Joining the RCEP bloc may create a larger and more diverse consumer market for Indian goods and services • This can create new export opportunities and boost economic growth especially if there is strong demand for Indian goods and services in these new markets • RCEP eliminates tariffs on most goods traded between member countries. This would make Indian exports more competitive in foreign markets • Joining RCEP would give Indian firms access to a larger market in places such as Japan and South Korea and encourage foreign investment in India • RCEP would make it easier for Indian firms to integrate into regional and global supply chains. This would help Indian firms reduce costs and improve efficiency • RCEP is expected to create many jobs. India could benefit from this job creation, especially for its young and growing population • The bloc may give India more bargaining power in international trade negotiations helping to secure better deals for its exports and imports **AO4** • However, joining a trading bloc could also lead to increased competition for Indian firms in both domestic and foreign markets • Indian firms will need to be prepared to compete with firms from the 15 member countries and this may result in Indian firms having to innovate or lower prices • The increased competition from firms in other member countries could lead to job losses in India particularly in labour-intensive industries such as agriculture and manufacturing • This is because firms may be tempted to shift their production to member countries with lower labour costs or more favourable tax regimes • Overall, there are both potential benefits and challenges associated with membership of the RCEP	**(12)**

Type MS · Trading blocs: what they are and their effects

Answer 8 of 11 · Question 4 part c · 12 marks

2024 NOV · Paper 02 · extract 4 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Trading blocs: what they are and their effects

Answer 8 of 11 · Question 4 part c · 12 marks

2024 NOV · Paper 02 · extract 5 of 5 · find part c in this mark scheme extract

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Type MS · Trading blocs: what they are and their effects

Answer 9 of 11 · Question 3 part a · 1 mark

2025 JUN · Paper 02 (regional R) · extract 1 of 6 · find part a in this mark scheme extract

3(a)	**AO1 1 mark** The only correct answer is: **D** Access to a larger market within the bloc A is not correct because there is generally the reduction or elimination of tariffs among member countries B is not correct because delivery times might be faster with more integration within the trading bloc C is not correct because members can trade with any country outside of the trading bloc	**(1)**

Question Number	What is the **visible trade balance** in $bn for the country? **Answer**	Mark
3(b)	**AO2 1 mark** The only correct answer is: B $60bn A is not correct because this is $80bn- $50bn C is not correct because this is ($300bn + $80bn) - ($240bn + $50bn) D is not correct because this is $300bn−$50bn	**(1)**

Type MS · Trading blocs: what they are and their effects

Answer 9 of 11 · Question 3 part a · 1 mark

2025 JUN · Paper 02 (regional R) · extract 2 of 6 · find part a in this mark scheme extract

Question Number	Explain **one** possible disadvantage of having a fiscal deficit for a country such as the US. **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for identifying a relevant disadvantage Award 1 mark for developing the disadvantage Award 1 mark for the response being in context • One disadvantage is a fiscal deficit can lead to a higher national debt. **(1)** The US Government will have to pay more in interest on the debt **(1)** therefore leaving less available for public services such as education/healthcare **(1)** • One disadvantage is that taxes might increase to cover the debt. **(1)** Increasing taxes can reduce disposable income for households and firms. **(1)** This reduction in spending and investment can slow down economic growth **(1)** Accept any other appropriate response	**(3)**

Question Number	With reference to the data above and your knowledge of economics, analyse the possible impact of rising inflation on shoe leather costs for consumers in the UK. **Indicative content**	Mark
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Rising inflation reduces the purchasing power of consumers • As prices increase, consumers are likely to spend more time shopping around for better deals and discounts to stretch their budgets • This involves visiting multiple stores or browsing various online retailers thereby increasing shoe leather costs • With inflation rising to 4% in December 2023, consumers may find themselves making more frequent trips to banks • The effect of rising inflation on shoe leather costs is particularly significant for low-income consumers • These individuals may not have easy access to banking services • This makes them more vulnerable to the negative impacts of inflation and significantly increases shoe leather costs for consumers	**(6)**

Type MS · Trading blocs: what they are and their effects

Answer 9 of 11 · Question 3 part a · 1 mark

2025 JUN · Paper 02 (regional R) · extract 3 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Trading blocs: what they are and their effects

Answer 9 of 11 · Question 3 part a · 1 mark

2025 JUN · Paper 02 (regional R) · extract 4 of 6 · find part a in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess how effective monetary policy might be in decreasing unemployment for a country such as France. **Indicative content**	Mark
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • With GDP growth expected to remain low, reducing interest rates could further stimulate economic activity, leading to business expansion and job creation, thereby potentially reducing the high level of unemployment • As consumer spending is expected to improve in the coming years, lower interest rates would increase this effect by making borrowing cheaper, stimulating demand for goods and services, and hence encouraging firms to hire more employees • Reducing interest rates from 4.5% would make loans cheaper for firms to invest in expansion and job creation leading to further economic growth • Despite a weak outlook for China, lowering interest rates could weaken the currency, making French exports more competitive, supporting industries reliant on exports and their employment rates **AO4** • However, France's significant trade relations with Germany and reliance on global markets like China mean external economic slowdowns could dampen the effectiveness of monetary policy in reducing unemployment • The high level of unemployment suggests there may be deeper structural issues in the labour market that monetary policy alone cannot address • With the current rate at 4.5%, there might be limited room for the ECB to lower rates further, especially if they need to balance other economic objectives such as inflation, limiting the impact on employment • Monetary policy changes often have a lagged effect on the economy, meaning any potential benefits in reducing unemployment might not materialise quickly • Lower interest rates might result in capital flowing out of France seeking higher returns elsewhere, which could reduce domestic investment and job creation	**(9)**

Type MS · Trading blocs: what they are and their effects

Answer 9 of 11 · Question 3 part a · 1 mark

2025 JUN · Paper 02 (regional R) · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Trading blocs: what they are and their effects

Answer 9 of 11 · Question 3 part a · 1 mark

2025 JUN · Paper 02 (regional R) · extract 6 of 6 · find part a in this mark scheme extract

Question Number	Calculate, to two decimal places, the **percentage of the population employed** on small cocoa farms in Ghana in 2024. You are advised to show your working. **Answer**	Mark

Type MS · Trading blocs: what they are and their effects

Answer 10 of 11 · Question 1 part c · 2 marks

2025 JUN · Paper 02 · extract 1 of 6 · find part c in this mark scheme extract

	Answer	
1(a)	**AO1 1 mark** The only correct answer is: **B** Lower transportation costs A is not correct because increasing these barriers would likely decrease globalisation by limiting international trade C is not correct because it is the increased significance of multinational corporations that contributes to globalisation D is not correct because this would make trade more expensive and less likely to occur	**(1)**

Question Number	What is likely to happen if a government successfully reduces unemployment? **Answer**	Mark
1(b)	**AO1 1 mark** The only correct answer is: **A** Inflation might rise as more people have money to spend B is not correct because employment growth is associated with higher output and economic growth C is not correct because more people have jobs and therefore more money to spend D is not correct because government spending on benefits would decrease as more people are now employed	**(1)**

Question Number	What is meant by the term trading bloc? **Answer**	Mark
1(c)	**AO1 2 marks** Award 2 marks for a correct definition A trading bloc is a group of countries that join together **(1)** to reduce/eliminate trade barriers between themselves **(1)** Accept any other appropriate response	**(2)**

Type MS · Trading blocs: what they are and their effects

Answer 10 of 11 · Question 1 part c · 2 marks

2025 JUN · Paper 02 · extract 2 of 6 · find part c in this mark scheme extract

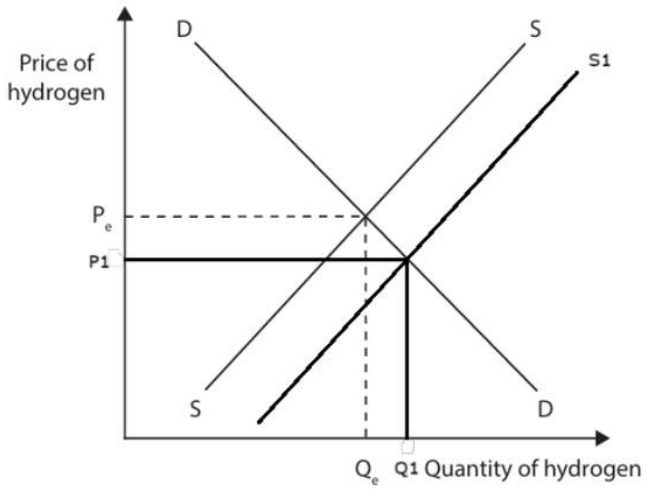
Question Number	Describe **one** impact on consumers of an increase in interest rates. **Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to the impact and 1 mark for the development of the impact One impact is that the cost of borrowing becomes more expensive **(1)** therefore fewer consumers take out loans to buy products **(1)** Accept any other appropriate response	**(2)**

Question Number	Calculate the **visible trade balance** in €bn for the country. You are advised to show your working. **Answer**	Mark
1(e)	**A02 2 marks** Award 1 mark for export of goods – import of goods €150bn - €120bn **(1)** Award 1 mark for the correct answer = €30bn **(1)** Award 2 marks if the correct answer is €30bn even if no calculations are shown Award 1 mark if the answer given is 30bn even if no calculations are shown Do not award marks for the formula.	**(2)**

Type MS · Trading blocs: what they are and their effects

Answer 10 of 11 · Question 1 part c · 2 marks

2025 JUN · Paper 02 · extract 3 of 6 · find part c in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the introduction of the subsidy on the equilibrium price and quantity of hydrogen in France. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(f)	**AO2 3 marks** Award 1 mark for a rightward shift of the supply curve, labelled Award 1 mark for a lower equilibrium price, labelled Award 1 mark for a higher equilibrium quantity, labelled  	**(3)**

Type MS · Trading blocs: what they are and their effects

Answer 10 of 11 · Question 1 part c · 2 marks

2025 JUN · Paper 02 · extract 4 of 6 · find part c in this mark scheme extract

Question Number	Explain **one** possible benefit of a fiscal surplus for a country such as Portugal. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant benefit Award 1 mark for developing the benefit Award 1 mark for the response being in context • One benefit is that Portugal can spend more money on public services **(1).** Investing more in these sectors can lead to better schools and hospitals **(1)** therefore improving the quality of life for its citizens. **(1)** Accept any other appropriate response	**(3)**

Question Number	With reference to the data above and your knowledge of economics, analyse the impact of a recovery on unemployment for a country such as Greece. **Indicative content**	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Firms might start hiring more people because they need more workers to meet the demand for their products or services reducing unemployment levels in Greece • Economic recovery often encourages entrepreneurs to start new businesses • These new firms will need employees, creating more jobs and increasing overall employment levels in Greece • When the economy is doing well, both firms and consumers feel more confident • Firms are more likely to invest in new projects or expand, needing more workers • Consumers spend more which can lead to more jobs in retail, services and other sectors	**(6)**

Type MS · Trading blocs: what they are and their effects

Answer 10 of 11 · Question 1 part c · 2 marks

2025 JUN · Paper 02 · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Trading blocs: what they are and their effects

Answer 10 of 11 · Question 1 part c · 2 marks

2025 JUN · Paper 02 · extract 6 of 6 · find part c in this mark scheme extract

Question Number	Which **one** of the following is a government policy that changes the rate of interest? **Answer**	Mark

Type MS · Trading blocs: what they are and their effects

Answer 11 of 11 · Question 2 part a · 1 mark

2025 NOV · Paper 02 · extract 1 of 7 · find part a in this mark scheme extract

2(a)	**AO11 mark** The only correct answer is: **D** A group of countries that reduce trade barriers between themselves A is not correct because a trade bloc does not require member countries to use the same currency B is not correct because a trade bloc does not necessitate that member countries have the same tax rates C is not correct because often countries have different languages	**(1)**

Question Number	Which **one** of the following best describes the role of currency speculators? **Answer**	**Mark**
2(b)	**AO11 marks** The only correct answer is: **B** They trade currencies to profit from changes in exchange rates A is not correct because they invest in currencies and not bonds C is not correct because they cannot lend money to countries D is not correct because only governments can fix currencies	**(1)**

Type MS · Trading blocs: what they are and their effects

Answer 11 of 11 · Question 2 part a · 1 mark

2025 NOV · Paper 02 · extract 2 of 7 · find part a in this mark scheme extract

Question Number	State **one** possible role of the World Trade Organization (WTO). **Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** possible role • Trade negotiations • Settling trade disputes • Building membership of the WTO • Monitoring WTO rules are being followed • Persuading countries to reduce tariffs/quotas/trade barriers • To promote free trade Accept any other appropriate responses	**(1)**

Question Number	What is meant by the term economic growth? **Answer**	Mark
2(d)	**AO1 2 marks** Award up to 2 marks for a correct definition A rise in the total value of output/GDP **(1)** over a period of time **(1)** **OR** An increase in the level of output **(1)** by a nation **(1)** Accept any other appropriate response	**(2)**

Type MS · Trading blocs: what they are and their effects

Answer 11 of 11 · Question 2 part a · 1 mark

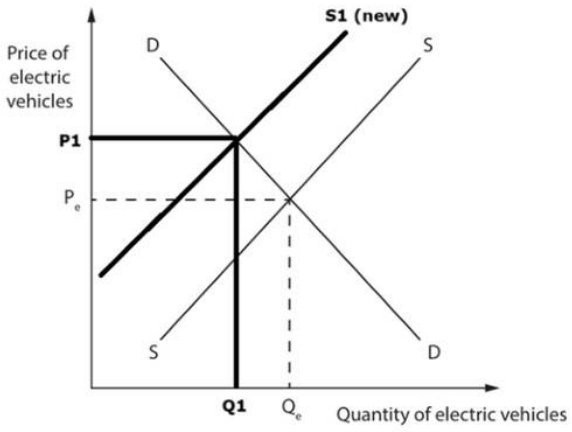
2025 NOV · Paper 02 · extract 3 of 7 · find part a in this mark scheme extract

Question Number	Explain **one** impact of rising unemployment on government spending on benefits in a country such as Sweden. **Answer**	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant impact Award 1 mark for developing the impact Award 1 mark for the response being in context • One impact is an increase in government spending on benefit payments. **(1)** The government will need to allocate more funds to unemployment benefits **(1)** to support the increasing number of those without work/no income **(1)** Accept any other appropriate response	**(3)**

Type MS · Trading blocs: what they are and their effects

Answer 11 of 11 · Question 2 part a · 1 mark

2025 NOV · Paper 02 · extract 4 of 7 · find part a in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the new tariff on the equilibrium price and quantity of electric vehicles imported into the EU from China. Label the new curve, the new equilibrium price and new equilibrium quantity. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for a left shift of supply, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	(3)

Type MS · Trading blocs: what they are and their effects

Answer 11 of 11 · Question 2 part a · 1 mark

2025 NOV · Paper 02 · extract 5 of 7 · find part a in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess how effective monetary policy is likely to be in increasing output for a country such as New Zealand. **Indicative content**
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • The central bank of New Zealand's recent reduction in the base rate to 5.25% could encourage businesses to borrow and invest, potentially boosting output in a difficult economic environment • The reduction makes loans more affordable for households, which can directly lead to increased spending and sales for firms • Lower interest rates may stimulate consumer spending, which has been weak, thereby increasing demand for goods and services and driving up production • Expansionary monetary policy can weaken the New Zealand currency, making exports more competitive and increasing output in export-driven industries • Monetary policy adjustments can be quickly implemented, providing a timely boost to economic output which is struggling with rising unemployment and low consumer confidence **AO4** • However, given the ongoing economic difficulties, including weak consumer confidence, the reduction in the base rate from 5.5% to 5.25% may not be sufficient to significantly boost spending and output • The small size of the rate cut may have only a minimal impact on boosting economic activity and increasing output • Firms in New Zealand may remain hesitant to invest despite the rate cut due to uncertainties like rising unemployment and reduced investment activity • Expansionary monetary policy can lead to inflationary pressures, which might offset gains in output by reducing purchasing power • Monetary policy may be less effective if the economy is already at or near full capacity, leading to limited increases in output

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Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

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Question Number	In times of inflation, which **one** of the following is a shoe leather cost when purchasing a mobile phone online? **Answer**	Mark